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August 2025

As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.

- Newly developed amenity-rich communities are not delivering on their promise to open certain offerings; whether it's a bar, hair salon, lounges, etc. This is due to low resident demand and higher-than-expected acuity levels. Many residents simply aren't well enough to use these spaces, making them costly and underutilized.
- Marketing directors in affluent zip codes are being armed with high-end tools to lure residents from competitors, including limousine pick-up services for tours and extravagant welcome gifts. This is part of a growing trend of intra-market poaching.
- Assisted Living providers are increasingly succeeding in eliminating the urban-rural gap in Medicaid reimbursement. With rural staffing costs now mirroring urban levels, state policies are becoming more receptive to standardizing rates.
- A handful of providers are considering transitioning their community into an employee-owned model, where team members (down to caregivers and junior staff) would share in a percentage of the profits. Ownership would vest after an employee has been with the community for a certain period, and that vesting would be forfeited upon their departure from the community.
- More residents are being transitioned from Independent Living to Memory Care, bypassing Assisted Living altogether. The decline in acuity from IL residents has become noticeably steeper than in years past, often making a direct move to ALZ more appropriate than using AL as a transitional step.
- With the return of 100% bonus depreciation, communities located in low land-value markets are receiving more investor attention. These deals offer higher tax benefits due to the greater share of value being allocated to depreciable structures over land.
- Financially stable not-for-profit campuses with excess land are increasingly exploring expansion opportunities to add more Independent Living units. This approach allows them to better assess the health and acuity of incoming residents before they transition to Assisted Living or Skilled Nursing.
- Skilled Nursing Facilities with high bed tax contributions are particularly nervous about their state's ability to raise funding for Medicaid matching dollars after Trump's most recent bill passed.
- As Assisted Living increasingly gets more third-party ancillary services (Therapy, Private Aides, Hospice, etc.) price conscience consumers are increasingly debating whether they can accomplish a similar care setting within an IL community that incorporates similar services instead of paying for Assisted Living.
- Independent Living on CCRC campuses continues to thrive, when offered as single-family cottages or villas. These layouts preserve autonomy and familiarity for residents, and occupancy levels remain significantly higher than in traditional IL apartment buildings.
- Communities are increasingly entering into agreements with medical groups to provide on-site physician services. Given long waitlists for their existing primary care providers, most residents welcome this convenience, and it allows the community to better manage resident health needs proactively.

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